the opinion that ‘CDS will not stabilize the economy rather could lead to destabilization’.

CDS contract are dangerous because they can be manipulated for mischief. It’s all about the insurable interest which is never there as it is used for *speculation*. A derivative that amounts to an insurance contract with no insurable interest is bad. But do the speculators have insurable interest? No they don’t have any! The US ‘sub prime’ crisis was a fallout of such CDS contracts – one defaulting and another claiming the ‘protection’ finally resulting into the defaulter of the insuring company – overnight the biggest US insurance giant, AIG went bankrupt. So happened with many US banks also.

The most damaging aspect of CDS is that the credit risk of one country/region gets exported to another country/region very smoothly and silently – thus there is a serious chance of ‘contagion effect’ suppose there are defaulters there – the thing which happened during the US ‘sub prime’ crisis.

SECURITISATION

This is the process of issuing ‘marketable securities’ backed by a pool of existing assets such as auto or home loans. After an asset is converted into a marketable security, it is sold to an investor who then receives interest and principal out of the cash flow generated from servicing of the loan. Financial institutions such as NBFCs and microfinance companies convert their loans into marketable securities and sell them to investors. This helps them get liquid cash out of assets that otherwise would be stuck on their balance sheets.

Global experience shows that if the value of the underlying asset falls then securitised assets lose value as it had happened during the US ‘sub-prime crisis’ – home loans against which securitised assets were sold to insurance companies and banks lost value, which in turn resulted in a crisis. To prevent such crises, the RBI has taken some precautionary steps in this regard – it has asked companies to hold securities for a certain minimum period: